AI LING ADVISORY

FINANCIAL AI REGULATORY PRACTICE · INDEPENDENT POLICY ASSURANCE

SFC

BASELINE REF: BL-86313E588458F5EB9902
AS-OF HORIZON: 2026-09-09
JURISDICTION: HONG KONG SAR

EXECUTIVE REGULATORY BASELINE & READINESS SPECIFICATION

DETERMINISTIC POLICY ARCHITECTURE BASELINE & BOARD ACCEPTANCE BLUEPRINT

TARGET INSTITUTION	LICENSED_CORPORATION
Entity Name:	Horizon Capital Management (HK) Limited
Licensed Scope:	SFC Type 4 (Advising) & Type 9 (Asset Management)
Client Officer:	Chief Compliance Officer & MLRO
Admitted Authorities:	SFC

AI SYSTEM SCOPE	GENERATIVE_AI
System Identity:	Alpha Co-Pilot (GenAI Investment Research)
Human Oversight:	Active (HITL Enforced)
Confidential Info:	Active (MNPI Safeguards)
Personal Data (PCPD):	Exempt (Non-Personal Data)

STATUTORY BASELINE COMPILED // ACTION REQUIRED FOR BOARD ACCEPTANCE

Closed Statutory Specification across 20 Applicable Controls · Internal Operational Verification Required · Horizon Capped (2026-09-09)

STATUTORY BASELINE CLOSED · DETERMINISTIC REGULATORY BASELINE COMPILED

20	29	SFC	100%
APPLICABLE CONTROLS	NON-APPLICABLE EXCLUSIONS	ADMITTED AUTHORITIES	DETERMINISTIC CLOSURE

FIVE OPERATIONAL ACTION THRUSTS & ACCEPTANCE EVIDENCE CHECKLIST

EXECUTIVE 3-POINT BASELINE

20 Controls Mapped

TAKEAWAYS · INSTITUTIONAL OPERATIONAL ROADMAP

OPERATIONAL THRUST & ACCOUNTABILITY	STATUTORY HOOK & OPERATIONAL MANDATE	ACCEPTANCE EVIDENCE CHECKLIST
1. Governance & Accountability (MIC-IT & Tripartite Leadership) Owner: Board of Directors / Senior Management (MIC-IT, MIC-KBL, MIC-RM) / Head of Compliance GOV-001, GOV-002, GOV-003, GOV-004, GOV-005	§ SFC Circular 24EC55 §9–12 · SFC 26EC32 §3 Formally assign Senior Management Tripartite Leadership via Board resolution: MIC-IT (Cyber/Tech Infrastructure), MIC-KBL (Overall Business Oversight & Client Suitability), and MIC-RM (Model Risk Limits & Controls) under SFC Circular 24EC55 §3.1. Promulgate Board-approved AI Lifecycle Policy and operationalize cross-functional AI Steering Committee (Legal, Risk, Tech).	· Accountability appointment · Governance charter · Completed AI risk assessment · Role-to-competence matrix
2. Model Risk & HITL Oversight (Type 4/9) Owner: Investment Research Team / Type 4/9 Licensed Representatives MOD-001, MOD-002, MOD-003, MOD-004	§ SFC 24EC55 §13–17 · SFC Code of Conduct Para 4.3 Mandate substantive independent review by licensed representatives (Type 4/9) prior to research dispatch; strictly bar autonomous order dispatch or unverified trade execution. Anchor RAG pipeline to verified financial databases and conduct periodic automated anti-hallucination stress testing.	· Validation plan · End-to-end test report · Accuracy control design · Human-review standard
3. Data Boundary & Confidentiality (MNPI & PII) Owner: Data Protection Officer (DPO) / Information Security DATA-002	§ PCPD PDPO DPP 1–6 · SFC 24EC55 §18–20 Configure dual-layer input boundary and automated DLP filters to prevent leakage of client Personally Identifiable Information (PII), Material Non-Public Information (MNPI), and restricted securities trading lists. Deliver mandatory analyst safe prompting compliance training.	· Acceptable-input standard · Technical control configuration · Data-loss tests · Exception and incident records
4. Third-Party LLM Supply Chain Governance Owner: Procurement / Legal & Compliance / IT Infrastructure TECH-003	§ SFC Cloud Circular · SFC 24EC55 §21–24 Execute enterprise commercial agreement legally binding Zero Data Retention (ZDR) and prohibiting vendor training on firm prompts/data. Preserve statutory regulator inspection and audit rights; document fallback models and exit handover protocol.	· Provider assessment · Contract and responsibility matrix · Component inventory · Ongoing monitoring records
5. Cyber Defence, Audit Trail & Kill-Switch Owner: IT Operations / Cyber Security Team / MIC-IT TECH-001, TECH-002, TECH-005, TECH-009, TECH-010, TECH-011, TECH-012, TECH-004, TECH-013	§ SFC 26EC32 §4–7 · SFO S.114 Record Keeping (7 Years) Conduct recurring adversarial red-team penetration testing against prompt injection and jailbreaking. Maintain immutable 7-year audit logs of prompts, model completions, and reviewer approvals under SFO S.114. Deploy an immediate emergency kill-switch to isolate external API links within seconds during anomalies.	· AI threat model · Adversarial test plan · Logging specification · Technology asset inventory

EVALUATED NON-APPLICABLE CONTROLS (NEGATIVE SCOPE BOUNDARY)

REGULATORY SCOPE DEMARCATION · FORMAL NEGATIVE PROOF PERIMETER

29 FORMALLY EXCLUDED

Schedule 7 Algorithmic & High-Frequency Trading (SFC SFO Schedule 7)
System operates purely as an internal investment research assistant with no automated order routing or direct exchange market execution interfaces; excluded from algorithmic trading regulatory perimeter.

Retail Automated Investment Advice (Robo-Advisory)
System is strictly restricted to internal professional buy-side analysts with zero retail client-facing interactive touchpoints; exempt from retail suitability evaluation and automated client profiling.

Banking Personal Credit Scoring & Lending Assessment (HKMA SPM)
Target entity is an asset manager / licensed corporation, not an authorized lending institution under HKMA retail credit supervision, with no automated credit underwriting or loan approval functionality.

Technical Architecture Assessment: Technical Architecture Assessment: Negative proof evaluations represent deterministic technical condition resolutions based on declared architectural scope. This assessment does not constitute statutory legal exemptions or formal supervisory clearance opinions. Material operational changes require re-evaluation.

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This specification establishes an objective deterministic baseline compiled from declared system architecture under effective HK regulatory instruments. It does not constitute legal opinion or formal supervisory pre-clearance. Operational implementation and regulatory responsibility remain with the regulated entity.

Sample Context: Authentic compilation for a Hong Kong SFC Type 4 & 9 Asset Manager deploying an internal GenAI Investment Research Co-Pilot under SFC Circular 24EC55.

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